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PART II

Statutory Notifications (S.R.O.)

GOVERNMENT OF PAKISTAN

MINISTRY OF TEXTILE INDUSTRY

NOTIFICATION

Islamabad, the 27th March, 2012

S. R. O. 307 (I)/2012.—In exercise of the powers conferred by section 15 of the Cotton Cess Act, 1923 (XIV of 1923) the Federal Government is pleased to make the following rules, namely:—

1. **Short title and commencement.**—(1) These rules may be called the Pakistan Cotton Cess Rules, 2012.

(2) They shall come into force at once.

2. **Definition.**—In these rules, unless the context otherwise requires,—

(a) “Act” means the Cotton Cess Act, 1923 (XIV of 1923); and

(b) “Organization” means the head quarters of the Committee, its research institutes and station or sub-stations.

(1137)

3. Appointment and term of members.—(1) The Federal Government shall appoint members of the Committee by notification in the official Gazette.

(2) The Federal Government may, however, terminate the membership of a member before completion of his term in the public interest.

(3) If a vacancy in the constitution of the Committee occurs by death, resignation or otherwise, of an *ex-officio* member another member shall be appointed in his place who shall hold office for the unexpired period of the term of his predecessor.

(4) The term of the member of the Committee, other than *ex-officio* member shall be three years.

4. Minimum number of meetings.—The Committee shall hold at least two meetings in a year.

(2) The quorum for meeting of the committee shall be at least sixty percent of the total membership.

5. Records of business.—The committee shall maintain complete record of business of the committee including the confidential reports, minutes of meeting of the committee and sub-committees and transaction of business. The copies of the same shall be forwarded to the Federal Government and all members of the committee.

6. Power of the Committee to contract.—(1) The Committee has the power to enter into contract:

Provided that every contract which extends beyond a period of three years, or involves expenditure in excess of rupees one million shall require prior sanction of the Federal Government.

(2) The Committee may, subject to sub-rule (1) by resolution, delegate to Vice-President or Chief Executive Officer (CEO) such powers of entry into contract on its behalf as it deem appropriate and to the extent specified in the resolution.

(3) Contracts shall not be binding on the Committee unless they are executed by the Vice-President or CEO and are authenticated by the common seal of the Committee.

7. Power of the Committee for appointment etc.—The Committee shall submit its recommendations to the Federal Government for creation of new posts. The Committee shall also specify and recommend the remuneration, terms of appointment, age, qualification, experience job description etc., for these posts.

8. Appointment, functions and powers of CEO.—(1) The Federal Government shall appoint the Chief Executive Officer (CEO) for a period of three years, extendable by another period of three years, on basis of their performance.

(2) The CEO shall be responsible for efficient and effective administration and management of the organization. The Federal Government may delegate powers to CEO to appoint, promote dismiss the officers and officials, on the recommendation of departmental selection committee or departmental promotion committee, as the case may be.

9. Appointment, Functions and powers of Chief Financial Officer.—(1) The Federal Government shall appoint Chief Financial Officer (CFO) for a period of three years, extendable by another period of three years, on basis of his performance.

(2) The CFO shall be responsible for all financial matters, including expenditures, income, investments, cess collection etc. He shall formulate a financial policy within three months of his appointment and submit for approval of the Federal Government. He shall also be responsible for making annual budget estimates, prepare and submit annual financial reports, maintain proper accounts, and facilitate the audit of the accounts.

10. Appointment, functions and powers of Chief Scientist.—(1) The Federal Government shall appoint a Chief Scientist for a period of three years, extendable by another period of three years, on basis of his performance.

(2) The Chief Scientist shall be responsible to formulate policy in the field of cotton research and development on the basis of guidelines given by the Committee and in consultation with stakeholders. He may assign research work to different institutes, research stations or individual scientist. The Chief Scientist shall act as countersigning officer for scientists working in BS-19, and second countersigning officer for all the scientists working in BS 17-18. He may recommend scientist for promotion to the concerned authority.

11. Power of the committee to incur expenditure.—(1) Subject to the provisions of the Act the Committee may incur such expenditure as it may deem fit. No expenditure shall be incurred which is in excess of the sanctioned budget allotted under any head. Approval of the Principal Accounting Officer shall be obtained in case expenditure exceeds the sanctioned budget.

(2) Re-appropriations between and within major heads of expenditure shall be recommended by the concerned sub-committee and approved by the Principal Accounting Officer. The re-appropriation shall be submitted before the Committee for information.

12. Traveling allowance for the members.— (1) Save with the previous sanction of the Federal Government, no remuneration shall be paid other than traveling allowance to any member of the Committee on account of his services as such.

(2) A member of the Committee shall be entitled to draw traveling, boarding and lodging allowances in respect of any journey performed for the purpose of attending a meeting of the Committee or of a duly constituted subcommittee as admissible to the officers of the Federal Government in BPS-20.

(3) The Committee may also approve payment of traveling, boarding and lodging allowances to a member for attending a meeting of any other organization on behalf of or in representation of the Committee.

13. Budget.—(1) The CEO in consultation with the concerned sub-committee shall prepare annual budget for the next year in May and submit for the sanction of the Committee in special budget meeting held every year.

(2) The budget shall be in such format as the Committee may approve. The budget format shall be prepared in line with the instructions issued by the Accountant-General of Pakistan from time to time.

14. Custody and disbursement of funds.—(1) The current account of the Committee and its institutions, stations and subordinate offices shall be maintained in a scheduled bank, approved by the Federal Government. A bank statement of all transactions of all accounts shall be provided to the Federal Government on quarterly basis. The organization shall reconcile its accounts with the concerned banks justifying all payments and cheques issued to ensure that exact expenditure has been debited and copy of the reconciled accounts shall be forwarded to the Federal Government for information of Principal Accounting Officer.

(2) Any funds not required for current expenditure may be invested or placed in fixed deposit or re-invested in any scheduled bank of Category A or any financial institution with the prior approval of the Federal Government.

(3) Payments by or on behalf of the Committee shall be made by cross cheque to concerned party or person only drawn against the current account of the Committee. No cash payment shall be paid to any party exceeding rupees twenty-five thousand.

(4) The cheque referred to in sub-rule (3) and all orders for making deposits or investments or for the withdrawal of the same or for the disposal in any other manner of the funds of the Committee shall be signed by two officers of the organization nominated by the Federal Government.

The cheque referred to in sub-rule (3) and all orders for making deposits or investments or for the withdrawal of the same or for the disposal in any other manner of the funds of the institutes, stations, sub-ordinate offices and directorates etc., of the Committee shall be signed by the DDO and countersigned by the director or office in-charge nominated by the Committee after the previous sanction of the Federal Government.

(6) The Committee shall not raise debt except with the prior approval of the Federal Government.

(7) The total outstanding debts at any point of time shall not exceed twenty per cent of Committee's current year's receipts budget.

(8) The concerned sub-committee may authorize the CEO to maintain a fund as petty cash, sanctioned in the budget, to meet day-to-day expenditure.

15. Annual statements of grants-in-aid.—Every Provincial Department of Agriculture to which sums have been allocated by the Committee for expenditure on cotton research and every other institution not under direct control of the Committee to which sums have been so allocated shall furnish to the Committee during July every year a statement of accounts of the actual expenditure incurred, outstanding liabilities, if any, and the balance amount.

16. Form and verification of return.—The return referred to in section 6 of the Act shall be in Form "A" annexed to these rules and shall be verified in the manner set forth therein.

17. Check of return by Collector.—For the purpose of satisfying himself of the correctness of any such return the Collector shall check the same in such manner as he thinks fit and may for this purpose take copies of extracts from such records to which the return relates to be examined and compared with the entries in the return. The Federal Government may, by notification in the Official gazette, appoint any other officer to perform the duties of the collector under this Act to improve the recovery and collection of cess.

18. Form of notice under section 7(1).—The notice referred to in sub-section (1) of section 7 of the Act shall be in Form 'B' annexed to these rules.

19. Assessment under section 7(2).—If the owner of any mill fails to furnish in due time the return referred to in section 6 of the Act, or furnishes a return which the Collector after completion of the check referred to in rule 17 believes to be incorrect or defective, the Collector shall, subject to the provisions of the Act, use such methods as he may think fit for the ascertainment of the amount payable under the Act and shall assess and recover the same accordingly. If required the Collector may recover the cess due as arrears of land revenues under the West Pakistan Land Revenue Act, 1967 (XVII of 1967).

20. Assessment under section 8(2).—(1) An assessment under sub-section (2) of section 8 of the Act shall be made by the land customs officer in charge of a land customs station established under the Customs Act, 1969 (IV of 1969).

(2) In such assessment the amount by which the consignment of cotton under assessment exceeds the number of completed hundreds of pounds avoirdupois contained therein may be left out of account.

(3) A person aggrieved by such assessment shall be entitled to prefer an appeal to the authority to whom he would have been entitled to appeal if the assessment had been made under the Customs Act, 1969 (IV of 1969).

21. Audit and publication of accounts.—(1) The Committee shall maintain accounts of its assets, liabilities and all financial transactions in accordance with the Globally Accepted Accounting Practices (GAAP). The system shall be prepared in consultation with the Committee's auditors and Auditor-General of Pakistan.

(2) Such accounts shall be audited annually by auditors appointed in this behalf by the Committee and by Auditor-General of Pakistan. The auditors may disallow any item which in their opinion has not been spent in accordance with the Act or these rules.

(3) The accounts of receipts and expenditure relating to each financial year, together with the auditor's report thereon, shall be submitted to all members of the Committee by July of that year. The accounts and auditor's report shall also be published.

(4) Nothing in these rules shall preclude annual or special audit by the Auditor-General of Pakistan.

22. Protection of the assets of the Committee.—The Committee shall have no right, at any circumstances, to sell, transfer, trade, exchange, reassign, mortgage, gift, grant, donate, make contribution of any of the immovable property.

23. Repeal.—The Pakistan Cotton Cess Rules, 1950 are hereby repealed.

Note:—(Pakistan Cotton Cess Rules, 2012 has been vetted by Law Division vide U.O No. 470/2012-D&L dated 06.03.2012 and approved by Honorable Prime Minister vide their U.O No. 901/PSPM-12 dated 24-03-2012).

ABID BASHIR,
Joint Secretary (A&C).

FORM "A"

[see rule 16]

Return under Section 6 of the Pakistan Cotton Cess Act. 1923 (XIV of 1923) for the month of 20...

- (a) Name of Mill _____
- (b) Name of owner or agent _____
- (c) Average number of ring spindles and rotors working during month Ring Spindles.....
 Rotors

Number of bales avoirdupois of cotton consumed or brought under cess in the mill during the month of..... 20....

- (i) Pressed Cottonkg orBales of 170kg.
- (ii) Un-pressed Cottonkg orBales of 170kg.
 Totalkg orBales of 170kg.
- (e) Cess Rupees..... per bale for bales = Rs.
- (f) Amount remitted herewith..... in local treasury.

By ☐ Cheque _____

☐ Draft _____

☐ Money order _____

☐ Cash/Transfer _____

or out (f) if remittance does not accompany return)

I do hereby declare that I have compared the above particulars with the records and books of my mill, and that they are in so far as I can ascertain, accurate and complete.

Signed this day of..... 20

(Signed)

to be signed by the Owner/ Managing Director)

FORM "B"
[see rule 18]

Notice of demand of payment of cotton cess under section 7 of Act XIV of 1923.

.....Collector's Officer.

Dated.....20.....

To

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Take notice that the cotton cess on thehill for the month of has been assessed atand that on behalf of the Federal Government, I hereby demand payment by you of sum of rupeesnow due and unpaid on account of cotton cess for month of.....and that if the above amount be not paid into this office within ten days after the date of service hereof on you I shall proceed to obtain payment of the same according to the provision of the Pakistan Cotton Cess Act, 1923 and West Pakistan Land Revenue Act, 1969 (IX of 1969).

[No. F. 1-1/2011-PCCC.]